



[Weekly Market Commentary](#)

Dear clients,

The continued absence of clear macro directionality has led to a persistent chop in bitcoin, which has been mirrored in many altcoins. While USD momentum has stalled, we believe that the coming PPI and CPI prints on May 14 and 15 could determine the next major direction for the USD due to the Fed's stated focus on combating inflation. In the near term, we don't believe this focus will change, despite weaker than anticipated prints for non-farm payrolls and initial jobless claims. Employment levels still remain near historic lows at 3.9%, and we think the economy is far from entering a contractionary period. In our view, employment is unlikely to be a major driver for Fed policy in the short term despite being the latter of the Fed's dual mandate.

Separately, the Grayscale Bitcoin Trust (GBTC) saw its first two days of inflows since its transition into an open-ended fund. This development signals an important completion of structural capital rotation. We believe that a significant portion of earlier GBTC outflows were linked to bankruptcy proceedings (e.g. Genesis and FTX), profit realization from the GBTC discount trade (40% discount to NAV 1 year ago), and rotation into lower fee products (<0.5% compared to 1.5%). Going forward, we anticipate fewer structural distortions to ETF flow numbers, though we have previously [cautioned](#) against utilizing flow numbers as leading indicators for future price action.

Meanwhile, Aave recently revealed plans for a fourth iteration (V4) of their protocol as part of a longer term Aave 2030 vision. Their V4 comes with a number of new architecture improvements with a focus on bolstering their GHO stablecoin, and is aimed for deployment in 2Q25. That said, transitioning liquidity across protocol versions is a non-trivial process that will take months, if not years. Aave's long term roadmap also puts it seemingly in competition with MakerDAO. As the two largest non-staking/restaking DeFi protocols by total value locked (TVL), we believe their future development and competition could set a precedent for newer protocols to embark on.

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Best,
The Coinbase Institutional Team

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